

weak currency. RBI said it was temporarily shifting focus away from growth and inflation to address the weakness in the currency. But just a few lines above this the document said the current policy stance was intended to address the risks to the rupee and thereby to the economy, address risks to growth, guard against inflation and ensure adequate liquidity in the system.

‘That was a dead giveaway that the RBI is juggling too many balls at the same time, and would have to drop at least one of them,’ my friend Sherlock said a couple of months later at one of our beer sessions. ‘And that ball is most likely to be currency, despite the central bank’s claim to the contrary.’

Among the factors blunting RBI’s counter-attack was the steady increase in crude oil prices because of the conflict in Syria. The country could do without gold imports, but not without oil imports. Matters on the currency front climaxed on 28 August when the rupee crashed 256 paise against the dollar in a single day, the steepest fall in over eighteen years. It touched a new low of Rs 68.85 to the dollar, and many foreign banks were predicting that it would sink somewhere close to Rs 75 to the dollar by the end of the year. Stocks went into a free fall as doubts arose about the ability of the government to service its foreign debt. Companies with sizeable dollar debts were hammered on the bourses.

One of the stock market maxims is to buy when there is blood on the streets. Looking at the prices some quality stocks were going for, there could not have been a better opportunity to load up if you were willing to take a two-three-year view. I am no whiz at reading balance sheets, studying industry trends and then investing for the long term. For that I usually rely on the wisdom of some of my analyst friends, whose judgement I respect. I bought decent chunks of a few old-economy stocks, which I thought were going cheap.

But every panic seems like a different one, just as every bull market appears to be different from the previous one. There had been panic on this scale in 2008 and again in early 2009. On those occasions the problems were largely confined to stock market players and some highly dubious companies. There was nothing hugely wrong with the economy. This time, the problem was the economy itself. If the country suffered a rating downgrade and struggled to service its foreign debt, there was no saying how ugly things could get.